



Tutor Jolly School

Name: _____

Grade: _____

Class: _____

Class No: _____

MICROECONOMICS: BASIC CONCEPTS, DEMAND & SUPPLY, ELASTICITY

Section A: Multiple Choice Questions

Select the most appropriate answer for each question.

1. Which of the following best defines the economic concept of 'scarcity'?

[3 Pts]

- A. A situation where supply exceeds demand at the current price.
- B. The unlimited nature of human wants versus the limited resources available to satisfy them.
- C. A shortage of goods caused by a price ceiling set below equilibrium.
- D. The financial cost associated with producing a good or service.

2. Consider the market for wheat. Which of the following events would most likely cause a rightward shift in the supply curve?

[3 Pts]

- A. An increase in the price of fertilizer used to grow wheat.
- B. A successful advertising campaign promoting the health benefits of wheat.
- C. Technological advancement that increases the efficiency of harvesting equipment.
- D. A severe drought affecting major wheat-producing regions.

3. If the price of a product increases by 10% and the quantity demanded decreases by 5%, what is the Price Elasticity of Demand (PED) and how is the demand described?

[3 Pts]

- A. 5; Inelastic
- B. 0; Elastic
- C. 5; Elastic
- D. 0; Inelastic

Section B: Structured Data Response

Answer all questions in the spaces provided. Show all workings for calculations.

4. Sarah has two hours of free time. She can either study for her Economics exam, which she values at 50 utility points, or go to the cinema with friends, which she values at 40 utility points. The cinema ticket costs \$15. [10 Pts]

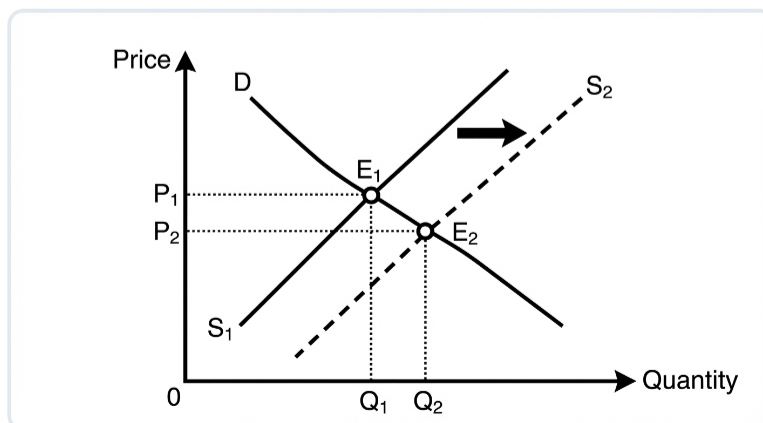
(a) Define 'Opportunity Cost'. (4 points)

(b) Explain Sarah's opportunity cost if she decides to study. (6 points)

5. The diagram provided illustrates the market for Electric Vehicles (EVs). Initially, the market is in equilibrium at point E1. [12 Pts]

(a) Identify the equilibrium price and quantity at E1 based on the diagram. (2 points)

(b) The government introduces a subsidy for EV manufacturers. With reference to the diagram, explain how this subsidy affects the supply curve, the equilibrium price, and the equilibrium quantity. (10 points)

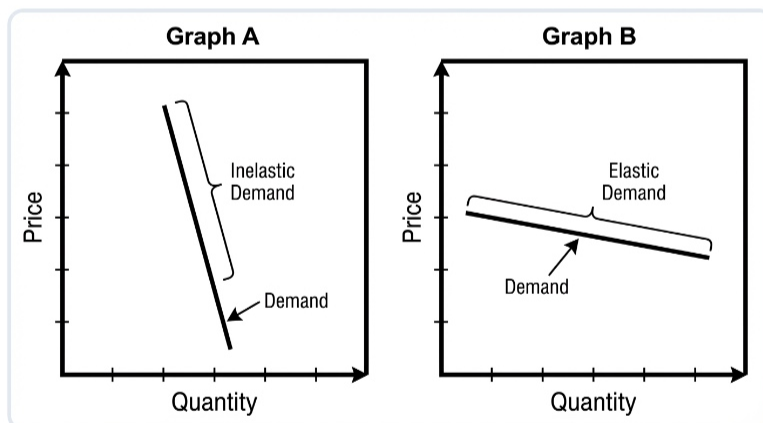


Section B (Continued)

Study the diagrams carefully before answering.

6. Compare the two demand curves shown in the visual below. Graph A represents the demand for fresh vegetables, while Graph B represents the demand for a specific brand of luxury perfume. [14 Pts]

- (a) Identify which graph represents 'Inelastic Demand' and which represents 'Elastic Demand'. Justify your answer using the slope of the curves. (6 points)
- (b) A 10% tax is applied to both products. Discuss which product's consumers will bear a larger burden of the tax (tax incidence) and why, referencing the concept of Price Elasticity of Demand. (8 points)



Section B (Continued)

Answer the question based on the visual and your economic knowledge.

7. The government decides to intervene in the agricultural market to support farmers by setting a minimum price (Price Floor) above the market equilibrium.

[15 Pts]

- (a) Refer to the visual provided. Identify the area representing the surplus (excess supply) generated by this policy. (3 points)
- (b) Analyze two potential economic consequences of maintaining this price floor on government expenditure and consumer welfare. (12 points)

